

\$60,000. He also planned to become wealthy. Carrying a \$250,000 mortgage, we felt, would be an impediment to his goal.

We suggested that he buy something less expensive, such as a \$200,000 home with a \$140,000 mortgage. This would be within the parameters of the rule. Bob rejected this advice. He did not want to live in a neighborhood full of “truckers and construction workers.” After all, he is a financial consultant and a college graduate.

But what Bob does not realize is that many construction workers and their spouses have combined incomes of more than \$84,000. Of course, his mortgage broker told him he was qualified for a \$250,000 mortgage. But that’s like asking a fox to estimate the number of chickens in your coop.

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- * The value of private wealth in America is more than \$22 trillion. Millionaires own approximately half of this amount, or \$11 trillion. The total personal income for the same period is estimated to be about \$2.6 trillion. Millionaires account for only about 30 percent of the total income, or \$.78 trillion. This means that millionaires as a group realize the equivalent of only 7.1 percent of their total wealth each year (\$.78 trillion income ÷ \$11 trillion in wealth=7.1 percent).**